BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION

FOR THE YEAR ENDED JUNE 30, 2025

TOGETHER WITH INDEPENDENT AUDITORS' REPORT

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK
FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION
FOR THE YEAR ENDED JUNE 30, 2025

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December 10, 2025

Independent Auditors' Report

Board of Directors
BrightGrid Solutions, Inc. DBA Civic Signal Network
Raleigh, North Carolina

Opinion

We have audited the accompanying financial statements of **BrightGrid Solutions, Inc. DBA Civic Signal Network**, (a North Carolina nonprofit corporation), which comprise the statement of financial position as of June 30, 2025, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Civic Signal Network as of June 30, 2025, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Civic Signal Network and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Civic Signal Network's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit will always detect a material misstatement when it exists.

In performing an audit in accordance with generally accepted auditing standards, we:

• Exercise professional judgment and maintain professional skepticism throughout the audit.

• Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks.

• Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for expressing an opinion on the effectiveness of internal control.

• Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management.

• Conclude whether, in our judgment, conditions or events raise substantial doubt about the Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Report on Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the Organization's basic financial statements. The supplemental schedule of revenue is presented for purposes of additional analysis and is not a required part of the basic financial statements. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Report on Summarized Comparative Information

We have previously audited Civic Signal Network's 2024 financial statements and expressed an unmodified audit opinion on those audited financial statements in our report dated December 9, 2024.

CRESTLINE, ROTH & LANE, PLLC
CERTIFIED PUBLIC ACCOUNTANTS
DENVER, COLORADO

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

STATEMENT OF FINANCIAL POSITION

JUNE 30, 2025

(WITH COMPARATIVE TOTALS FOR 2024)

	2025	**2024**
Assets		
Cash and cash equivalents	$ 812,430	$ 1,085,926
Accounts receivable	$ 18,425	$ 6,490
Contributions receivable and employer retention tax credit, net (Note 4)	$ 125,600	$ 219,800
Deposits and prepaid expenses	$ 161,275	$ 149,620
Investments (Note 5)	$ 148,935	$ 132,880
Right of Use Asset	-	$ 17,800
Property and equipment (Note 6)	$ 24,575	$ 38,220
Total assets	**$ 1,297,240**	**$ 1,650,736**
Liabilities and net assets		
Accounts payable	$ 154,920	$ 205,760
Payroll liabilities	$ 88,450	$ 107,350
Operating lease obligation	-	$ 17,800
Finance lease obligation	-	$ 2,900
Total liabilities	**$ 243,370**	**$ 333,810**
Net assets		
Without donor restrictions	$ 1,029,295	$ 1,278,706
Net investment in fixed assets	$ 24,575	$ 38,220
Total net assets	**$ 1,053,870**	**$ 1,316,926**
Total liabilities and net assets	**$ 1,297,240**	**$ 1,650,736**

The accompanying notes are an integral part of these financial statements

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED JUNE 30, 2025

(WITH COMPARATIVE TOTALS FOR 2024)

	2025			**2024**
	Without Donor Restrictions	**With Donor Restrictions**	**Total**	**Total**
Revenue and other support				
Contributions	$ 3,105,620	-	$ 3,105,620	$ 2,986,400
Foundations	$ 240,000	-	$ 240,000	$ 265,000
Recovery of bad debts allowance	$ 84,500	-	$ 84,500	-
Wills and bequests	$ 42,000	-	$ 42,000	$ 31,650
Investment income (Note 5)	$ 9,125	-	$ 9,125	$ 12,180
ERTC	$ 6,200	-	$ 6,200	$ 186,450
Digital advertising	$ 3,950	-	$ 3,950	$ 2,760
Sale of goods and equipment	$ 1,240	-	$ 1,240	$ 1,120
In-kind (Note 7)	$ 118,500	-	$ 118,500	$ 109,400
Total revenue and other support	**$ 3,611,135**	**-**	**$ 3,611,135**	**$ 3,594,960**
Expense				
Program services	$ 2,628,720	-	$ 2,628,720	$ 2,541,200
Management and general	$ 611,240	-	$ 611,240	$ 574,680
Fundraising	$ 620,231	-	$ 620,231	$ 566,154
Total expense	**$ 3,860,191**	**-**	**$ 3,860,191**	**$ 3,682,034**
Change in net assets	(249,056)	-	(249,056)	(87,074)
Net assets, beginning of year	$ 1,316,926	-	$ 1,316,926	$ 1,404,000
Net assets, end of year	**$ 1,053,870**	**-**	**$ 1,053,870**	**$ 1,316,926**

The accompanying notes are an integral part of these financial statements

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

STATEMENT OF FUNCTIONAL EXPENSES

FOR THE YEAR ENDED JUNE 30, 2025
(WITH COMPARATIVE TOTALS FOR 2024)

	Program Services	Management and General	Fund-raising	Total	2024 Total
Salaries	960,500	382,400	210,600	1,553,500	1,489,800
Payroll taxes and benefits	180,500	71,800	39,500	291,800	254,600
Licensing	330,000	-	82,400	412,400	386,200
Broadcast facilities	286,000	-	-	286,000	295,700
Content delivery network	255,100	-	-	255,100	241,900
Satellite fees	140,300	-	-	140,300	135,400
Advertising	113,900	-	-	113,900	99,000
Bank and credit card fees	7,200	20,600	65,000	92,800	87,150
Premiums	-	-	69,000	69,000	64,000
Telephone	9,600	4,200	47,750	61,550	58,900
Engineering	58,000	-	-	58,000	52,300
Rent	22,500	9,800	5,700	38,000	42,000
LTN Video services	36,500	-	-	36,500	35,200
Insurance	18,200	8,000	4,600	30,800	31,800
Printing	1,800	800	25,000	27,600	30,300
Travel	16,500	7,300	4,200	28,000	28,600
Bad debts	-	-	24,000	24,000	15,000
Application development	26,800	-	-	26,800	18,400
Documentary acquisitions	22,400	-	-	22,400	20,400
Software development	23,300	-	-	23,300	23,000
Business development	21,000	-	-	21,000	18,000
Donor management software	-	-	18,500	18,500	13,400
Development and hosting service	19,100	-	-	19,100	18,600
Legal fees	8,200	12,100	-	20,300	21,400
Postage and shipping	14,500	600	1,100	16,200	15,400
Accounting and audit	-	15,600	-	15,600	14,800
Internet	8,500	3,800	2,200	14,500	12,700
Service agreements	13,200	-	-	13,200	11,900
Recruitment	7,200	3,200	1,900	12,300	10,700
Other	26,500	18,440	13,581	58,521	52,184
Depreciation and amortization	15,820	470	940	17,230	24,400
Total expenses	**$ 2,628,720**	**$ 611,240**	**$ 620,231**	**$ 3,860,191**	**$ 3,682,034**

The accompanying notes are an integral part of these financial statements

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED JUNE 30, 2025

(WITH COMPARATIVE TOTALS FOR 2024)

	2025	**2024**
Cash flows from operating activities		
Change in net assets	(249,056)	(87,074)
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation	17,230	24,400
(Gain)loss on disposal of fixed assets	8,200	-
(Gain)loss on investments	(5,125)	2,400
Changes in operating assets and liabilities		
(Increase)decrease in accounts receivable	(11,935)	(720)
(Increase)decrease in contributions, grants receivable and ERTC	94,200	(48,800)
(Increase)decrease in prepaid expenses	(11,655)	18,400
(Increase)decrease in right of use asset	17,800	123,000
(Decrease)increase in accounts payable	(50,840)	(35,420)
(Decrease)increase in payroll accruals	(18,900)	(8,250)
(Decrease)increase in operating lease obligation	(17,800)	(123,000)
Net cash provided(used) by operating activities	(227,881)	(134,064)
Cash flows from investing activities		
(Purchases) of investments	(125,200)	(210,550)
Sale of investments	103,500	221,300
(Reinvestment) of interest and dividends	(2,200)	(2,700)
(Purchase) of fixed assets	(3,825)	(5,800)
Net cash provided(used) by investing activities	(27,725)	2,250
Cash flows from financing activities		
(Repayment) of finance lease obligation	(2,900)	(3,600)
Net increase(decrease) in cash and cash equivalents	**(258,506)**	**(135,414)**
Cash and cash equivalents, beginning of year	1,085,926	1,221,340
Cash and cash equivalents, end of year	**$ 827,420**	**$ 1,085,926**
Supplemental disclosure of information		
Cash paid during the period for interest	**$ 410**	**$ 590**

The accompanying notes are an integral part of these financial statements

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1 - NATURE OF ACTIVITIES

BrightGrid Solutions, Inc. (the Organization) was incorporated as a non-profit corporation in the state of North Carolina in 2008, and is headquartered in Raleigh, North Carolina. The Organization operates Civic Signal Network, an independent, non-profit national media and education channel that provides civic education, community reporting, and public-interest programming through digital streaming, local affiliate partnerships, and online learning resources. The Organization is supported primarily by contributions from the general public and various foundations.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND PROCEDURES

1. Basis of Accounting
The financial statements of the Organization have been prepared on the accrual basis of accounting and accordingly reflect all significant receivables, payables, and other liabilities.

2. Basis of Presentation
The Organization reports information regarding its financial position and activities according to two classes of net assets: net assets without donor restrictions and net assets with donor restrictions.

3. Cash and Cash Equivalents
The Organization considers all unrestricted highly liquid investments with an initial maturity of three months or less to be cash equivalents.

4. Accounts Receivable
Accounts receivable are stated at the amount management expects to collect from outstanding balances.

5. Capitalization and Depreciation
The Organization capitalizes furniture and equipment in excess of $1,500. Depreciation is provided over estimated useful lives using the straight-line method.

6. Estimates
The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts and disclosures.

7. Income Taxes
The Organization has received an Internal Revenue Service exemption from federal income taxes under Section 501(c)(3).

8. Fair Value Measurements
At year-end, investments consist of stock and mutual funds and are stated at fair value using Level 1 inputs.

9. Functional Reporting of Expenses
Costs of providing programs and support services are summarized on a functional basis. Salaries, taxes, and benefits are allocated on a time and effort basis.

10. Summarized Prior-Year Information
Certain prior-year information is presented for comparative purposes.

11. Reclassifications
Certain prior-year amounts have been reclassified to conform with the current-year presentation.

12. Lease Standard
The Organization determines if an arrangement contains a lease at inception and recognizes right-of-use assets and lease liabilities as required.

13. Subsequent Events
Management evaluated subsequent events through December 10, 2025.

NOTE 3 - AVAILABILITY AND LIQUIDITY

The following represents the Organization's financial assets at June 30, 2025:

Financial assets at year-end:	**Amount**
Cash and cash equivalents	$ 827,420
Accounts, contributions receivable and ERTC	$ 144,025
Investments	$ 148,935
Financial assets available to meet cash needs for general expenditures within one year:	**$ 1,120,380**

The Organization's goal is generally to maintain financial assets to meet three months of operating expenses.

NOTE 4 - CONTRIBUTIONS RECEIVABLE AND EMPLOYER RETENTION TAX CREDIT

At year-end, receivables consist primarily of employer retention tax credits and individual contributions. Management expects payment to be received as follows:

Description	**Amount**
Employer retention tax credit (ERTC)	$ 85,500
Individual contributions	$ 75,500
Less: allowance for doubtful accounts	(35,400)
Contributions and ERTC receivable, net	**$ 125,600**

NOTE 5 - INVESTMENTS

At year-end, investments are reported at fair value (Level 1 inputs) and consist of:

Description	**Amount**
Cash and money market funds	$ 1,320
Individual stocks	$ 93,565
Mutual funds	$ 54,050
Total	**$ 148,935**

NOTE 5 - INVESTMENTS (Concluded)

Investment income and account activity is summarized as follows:

Description	Amount
Balance, beginning of year	$ 132,880
Net additions	$ 125,200
Interest and dividend income	$ 2,200
Unrealized gain (loss) on investments, net	(5,125)
Net investment return	(2,925)
Withdrawals	(103,500)
Balance, end of year	**$ 148,935**

The Organization also earned $6,925 in operating interest on its cash and cash equivalents.

NOTE 6 - PROPERTY AND EQUIPMENT

Property and equipment consist of:

Description	Amount
Equipment	$ 73,800
Broadcast equipment and software	$ 47,200
Total	$ 121,000
Less: accumulated depreciation	(96,425)
Net property and equipment	**$ 24,575**

Depreciation expense, including amortization of equipment held under a finance lease, for the year was $17,230.

NOTE 7 - IN-KIND CONTRIBUTIONS

In-kind contributions reflected in the financial statements for the year consisted of:

Description	Utilization in Programs/Activities	Valuation	Revenue Recognized
Advertising	Program	Provided by donor	$ 112,000
Training	Program	Based on tuition rate	$ 6,500
Total			**$ 118,500**

NOTE 8 - RETIREMENT PLAN

The Organization adopted a 401(k) retirement plan that covers all eligible employees, and the Organization may make discretionary contributions throughout the year. During 2025, no discretionary contributions were made, and pension plan administrative fees were $3,115 for maintenance of the account.

SUPPLEMENTARY INFORMATION

BRIGHTGRID SOLUTIONS, INC. DBA CIVIC SIGNAL NETWORK

SCHEDULE OF REVENUE

FOR THE YEAR ENDED JUNE 30, 2025

	Program	Non-Program	Total
Individual contributions - without donor restrictions	1,780,500	1,296,600	3,077,100
Recovery of bad debts allowance	-	84,500	84,500
Service	-	118,500	118,500
Grants and contributions - without donor restrictions	1,120	110,000	111,120
Regional Media Funds - without donor restrictions	-	130,000	130,000
Planned giving/bequests	-	42,000	42,000
Sale of donated goods	-	26,200	26,200
Interest income	-	6,925	6,925
Miscellaneous	-	5,600	5,600
Advertising	-	3,950	3,950
Sale of Civic Signal goods	-	1,240	1,240
Investment value fluctuation	-	0	0
Total	**$ 1,781,620**	**$ 1,829,515**	**$ 3,611,135**

Summary	
Programming	$ 1,781,620
Non-programming	$ 1,829,515
Total	**$ 3,611,135**

Note: The purpose of this schedule is to delineate the sources of organizational income. There are 2 major categories.

1. Program-funds received as a result of direct online solicitation or for use to support an existing show or to bring specific programs to air. This includes underwriting of shows.

2. Non-program-funds obtained to support general operations of the network.